

Bizlink (3665 TT)

Recent Developments Earnings Accretive

Maintained **Buy**
Target price NT\$ 3,333

Joint development with ams OSRAM: On Sept 21, BizLink announced a joint development with ams OSRAM to co-develop next-generation optical interconnect solutions for scale-up architectures. The collaboration focuses on a microVCSEL-based “wide-and-slow” optical link. It offers low cost, supply-chain readiness, and easy co-packaging, targeting short-reach, power-sensitive scale-up links. Their “wide-and-slow” architecture can aggregate many lanes to achieve high bandwidth, and at the same time avoid the InP substrate constraints. OSRAM will supply the microVCSEL light sources, while BizLink will handle fiber-connector design and assembly. It is in the R&D stage, with potential ramp in 2H27.

Interplex a meaningful contribution to earnings and positioning: Interplex’s Sep 23 consolidation provides an uplift to BizLink’s earnings trajectory and strengthens its AI-datacenter positioning. We estimate Interplex’s current monthly run-rate at NT\$1.4–1.5bn, suggesting robust sequential revenue growth in 3Q26 (+19% QoQ), 4Q26 (+20%), and 2027 (+50%). We estimate Interplex to contribute ~11% of 2027 revenue, leading to total datacom exposure to 48%/56%/64% in 2026–2028. Strategically, the deal broadens BizLink’s AI-server portfolio beyond its leadership in power whips, cabling, and busbars to include chassis and other mechanical components; our supply chain research indicates Interplex is a vendor for leading GPU platforms, reinforcing BizLink’s competitive position.

AEC is set to re-accelerate while power remains intact: AEC pull-in demand has begun to materialize, and we expect Credo (CRDO Buy)’s momentum to accelerate starting CY3Q26 thanks to 800G AEC for T3, which will stay as maintain product of AWS till end-2027. We also expect the company to benefit from the strong Neocloud build-outs, particularly SpaceX. Meanwhile, the HVDC roadmap remains unchanged, with 800V/660kW starting in 4Q26 and volume ramping in 2H27 alongside broader NVL576 adoption. Based on our supply chain research, we see robust build plan of 800V HVDC side-car in 2027. We note that the power whip content per rack to be doubled if a HVDC pairs with 2 VR200 NVL72 racks.

Maintain buy and raise TP to NT\$3,333: We continue to expect tailwinds for its AEC, Power, optics and the acquisition of Interplex. By factoring in the Interplex consolidation, stronger AEC and higher share counts, we revise EPS estimates by +6%/+14% in 2026E/2027E and lift TP from NT\$3,140 to NT\$3,333, now based on 26x 2027E EPS.

Risks: 1) AI demand slowdown, 2) technology risk, 3) optical business delay, 4) competition.

Profit forecast

	2024	2025	2026E	2027E	2028E
Revenue (m)	54,080	71,247	105,095	157,368	210,657
Revenue YoY (%)	5.9	31.7	47.5	49.7	33.9
Net profit (m)	4,396	9,005	14,338	25,587	36,461
Net profit YoY (%)	89.7	104.8	59.2	78.5	42.5
EPS (NT\$)	25.4	46.8	72.7	128.2	182.7
P/E	92.1	50.3	32.2	18.3	12.8
ROE (%)	12.1	19.3	21.1	28.2	30.2

Source: Company data, GF Securities (Hong Kong) Brokerage.

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Jeff Pu, CFA

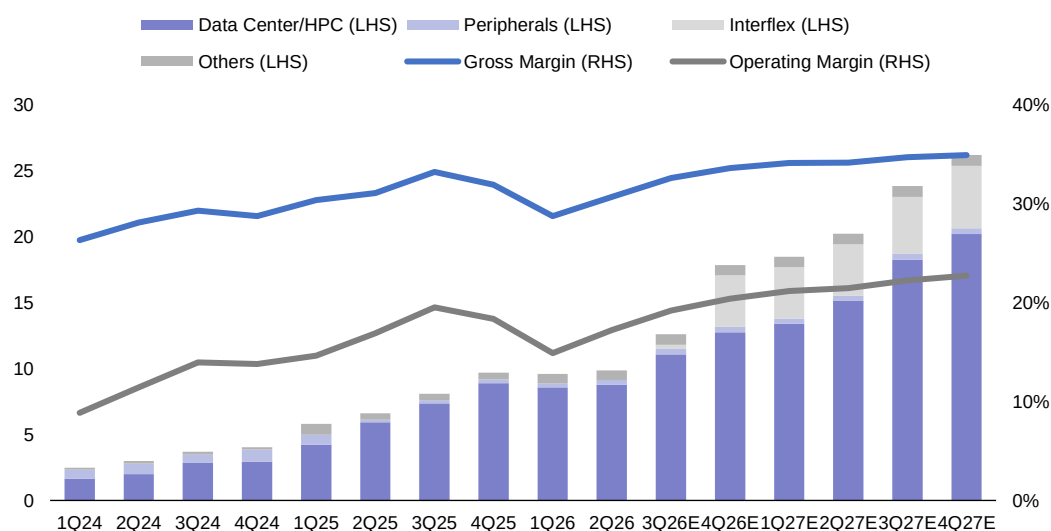
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Earnings Forecast

Figure 1: Datacom's revenue mix, vs. gross margin, op margin (NTD bn)



Sources: Company data, GF Securities (Hong Kong) Brokerage

Earnings revision

By factoring in the Interplex consolidation, stronger AEC and higher share counts, we revise EPS estimates by +6%/+14% in 2026E/2027E

Figure 2: Earnings revision

NTD m	2025	2026E		2027E		Change (%)	
		Old	New	Old	New	2026E	2027E
Net sales	71,247	99,228	105,095	139,645	157,368	6%	13%
Gross profit	22,605	31,396	33,367	47,834	54,341	6%	14%
EBIT	12,458	18,033	19,228	29,765	34,599	7%	16%
Pre-tax Income	11,866	17,629	18,890	29,313	34,239	7%	17%
Net profit	9,005	13,328	14,338	21,887	25,587	8%	17%
EPS (NT\$)	46.8	68.3	72.7	112.2	128.2	6%	14%
Key ratios (%)							
Gross margin	31.7%	31.6%	31.7%	34.3%	34.5%		
Operating margin	17.5%	18.2%	18.3%	21.3%	22.0%		
Pre-tax margin	16.7%	17.8%	18.0%	21.0%	21.8%		
Net profit margin	12.6%	13.4%	13.6%	15.7%	16.3%		

Sources: Company data, GF Securities (Hong Kong) Brokerage

Figure 3: Bizlink's P&L forecast

(NTD m)	2025	1Q26	2Q26	3Q26E	4Q26E	2026E	1Q27E	2Q27E	3Q27E	4Q27E	2027E
Sales	71,247	20,864	23,281	27,758	33,193	105,095	33,921	36,932	41,836	44,679	157,368
COGS	48,643	14,862	16,127	18,705	22,035	71,728	22,342	24,310	27,309	29,066	103,027
Gross profit	22,605	6,002	7,154	9,053	11,158	33,367	11,579	12,622	14,527	15,613	54,341
Opex	10,147	2,893	3,144	3,720	4,381	14,139	4,393	4,690	5,209	5,451	19,743
Operating profit	12,458	3,108	4,010	5,334	6,777	19,228	7,186	7,932	9,318	10,162	34,599
Non-op profit	-592	-65	-113	-70	-90	-338	-90	-90	-90	-90	-360
Pre-tax profit	11,866	3,043	3,897	5,264	6,687	18,890	7,096	7,842	9,228	10,072	34,239
Tax & Minority	2,861	770	915	1,263	1,605	4,552	1,810	2,117	2,307	2,417	8,651
Net Income	9,005	2,274	2,982	4,000	5,082	14,338	5,287	5,724	6,921	7,655	25,587
EPS (NTD)	46.74	11.66	15.28	20.04	25.46	72.7	26.49	28.68	34.68	38.35	128.2
Outstanding shares	193	195	195	200	200	197	200	200	200	200	200
Margin analysis											
Gross margin	31.7%	28.8%	30.7%	32.6%	33.6%	31.7%	34.1%	34.2%	34.7%	34.9%	34.5%
Operating margin	17.5%	14.9%	17.2%	19.2%	20.4%	18.3%	21.2%	21.5%	22.3%	22.7%	22.0%
Pre-tax margin	16.7%	14.6%	16.7%	19.0%	20.1%	18.0%	20.9%	21.2%	22.1%	22.5%	21.8%
Effective tax rate	24.1%	25.3%	23.5%	24.0%	24.0%	24.1%	25.5%	27.0%	25.0%	24.0%	25.3%
Growth (YoY%)											
Sales	32%	29%	37%	51%	68%	48%	63%	59%	51%	35%	50%
Operating profit	90%	32%	40%	48%	87%	54%	131%	98%	75%	50%	80%
Net income	105%	41%	47%	52%	85%	59%	133%	92%	73%	51%	78%
EPS	82%	39%	45%	48%	81%	56%	127%	88%	73%	51%	77%
Product mix (%)											
Industrial	35%	34%	35%	33%	29%	32%	29%	30%	29%	28%	29%
IT DataComm	42%	46%	42%	45%	54%	48%	55%	55%	57%	59%	56%
Automotive	11%	11%	10%	10%	8%	10%	8%	7%	7%	6%	7%
Electrical Appliance	11%	8%	12%	11%	8%	10%	8%	8%	7%	6%	7%
Others	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%

Sources: Company data, GF Securities (Hong Kong) Brokerage

Valuation and Recommendation

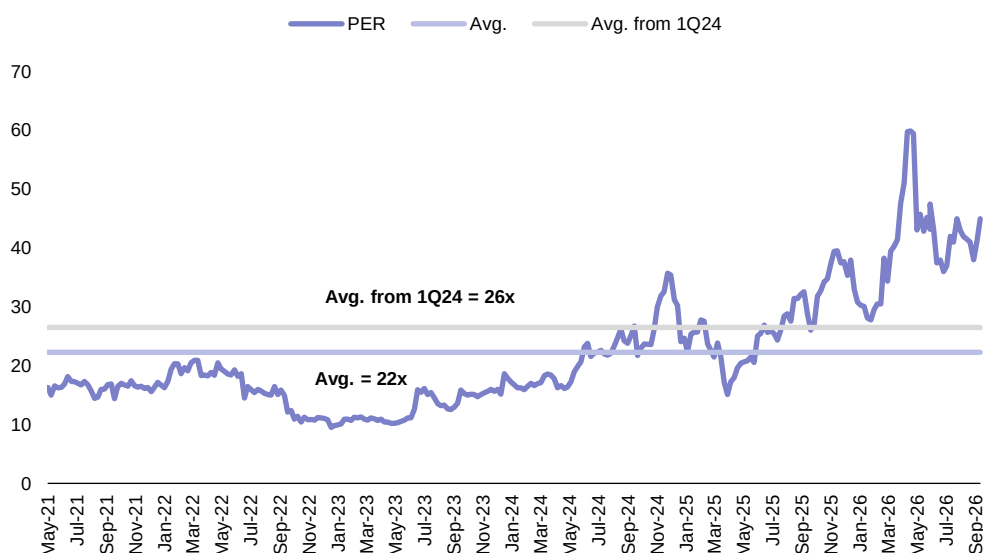
Maintain Buy with TP of \$3,333

We rate Bizlink (3665 TT) Buy and set our TP at NT\$3,333 which is based on 26x our 2027E EPS estimate, or 18x 2028E EPS, and is lower than prior 28x given recent AI supply chain de-rating. We adopt 2027 as valuation basis, as the market has looked beyond this year and to capture its robust Power business potential with the ramp-up of optical. We adopt P/E methodology as we believe the market mainly focuses on the company's earnings outlook.

The Bizlink is the highest-quality cabling maker worldwide and is expected to start optical business in later this year backed by the acquisition of Xin FuSheng, together with the expansion to higher-value HPC components by acquisition of Interplex. We like the company as we view it as an AI connectivity solution provider with increasing margin-accretive power business in 2026 and beyond. To further lift valuation, the ramp-up curve and margin outlook will be critical.

The company traded at an average of 22x since 2021 and was on an average of 26x since 1Q24 when the AI business. We derive our target price based on 26x P/E, which is inline with the mid-cycle level given its fast-growing AI momentum. We note the company delivered 78%/82% YoY growth in EPS in 2024/2025, and we forecast its EPS CAGR to be >50% in 2026-2028, with ROE trending up to ~30% level.

Figure 4: Bizlink's 12-month forward P/E



Sources: Company data, GF Securities (Hong Kong) Brokerage

Risks

1) AI demand, 2) technology risk, 3) optical business delay, 4) competition.

Balance Sheet						NTD mn
	2024	2025	2026E	2027E	2028E	
Current assets	33,668	51,412	66,718	95,433	126,719	
Cash and cash equivalents	10,184	14,404	12,135	14,946	19,567	
Inventory	11,232	13,824	20,385	29,280	38,605	
Accounts Receivable	10,473	14,279	21,063	31,539	42,219	
Other current assets	1,778	8,905	13,135	19,668	26,328	
Non-current assets	27,247	30,901	71,148	72,160	72,976	
Long-term equity investment	840	914	962	1,052	1,142	
Fixed assets	14,677	17,324	18,285	19,207	19,933	
Other long-term assets	11,730	12,663	51,901	51,901	51,901	
Total assets	60,915	82,313	137,866	167,594	199,695	
Current liabilities	16,795	20,630	38,846	53,146	61,761	
Accounts Payable	6,239	9,429	13,904	19,971	26,331	
Short-term borrowings	3,832	2,324	11,848	13,568	9,184	
Other current liabilities	6,724	8,877	13,094	19,607	26,246	
Non-current liabilities	7,903	15,040	31,008	23,715	17,138	
Long-term Debt	4,703	11,678	27,645	20,353	13,775	
Other non-current liabilities	3,200	3,362	3,362	3,362	3,362	
Total liabilities	24,698	35,670	69,854	76,861	78,899	
Total Equity	36,217	46,643	68,012	90,732	120,796	
Share Capital	1,896	1,950	1,995	1,995	1,995	
Additional Paid-in Capital	21,609	25,222	35,135	35,135	35,135	
Retained earnings	12,704	19,463	30,874	53,594	83,658	
Minority interests	8	8	8	8	8	
Total Liabilities & Equity	60,915	82,313	137,866	167,594	199,695	

Income Statement						NTD mn
	2024	2025	2026E	2027E	2028E	
Revenue	54,080	71,247	105,095	157,368	210,657	
Cost of sales	38,828	48,643	71,728	103,027	135,836	
Gross profit	15,253	22,605	33,367	54,341	74,821	
Operating Expense	8,687	10,147	14,139	19,743	25,886	
Operating profit	6,566	12,458	19,228	34,599	48,934	
Interest Income	426	349	586	520	600	
Interest Expense	711	494	848	920	800	
Net other Non-op. Income/(Loss)	38	-447	-76	40	40	
Pre-tax profit	6,318	11,866	18,890	34,239	48,774	
Income tax	1,928	2,861	4,552	8,651	12,314	
Profit for the year	4,390	9,005	14,338	25,587	36,461	
Minority interest	-6	0	1	0	0	
Net profit to ord. equity	4,396	9,005	14,338	25,587	36,461	
EPS (NT\$)	25.41	46.77	72.7	128.2	182.7	

Cash Flow Statement						NTD mn
	2024	2025	2026E	2027E	2028E	
Operating cash flow	6,909	8,595	8,297	15,344	26,073	
Profit for the year	4,396	9,005	14,338	25,587	36,461	
Depreciation & amortization	2,211	2,554	2,842	3,081	3,278	
Change in working capital	-1,724	-3,208	-8,883	-13,325	-13,665	
Others	2,026	244	0	0	0	
Investing cash flow	-4,377	-10,838	-43,089	-4,093	-4,093	
Capex	-4,344	-4,698	-3,300	-3,500	-3,500	
Change in investment	-254	-73	-48	-90	-90	
Others	221	-6,066	-39,741	-503	-503	
Free cash flow	2,532	-2,242	-34,792	11,251	21,980	
Financing cash flow	-2,943	5,312	32,523	-8,440	-17,359	
Change in Capital	7,223	1,420	7,032	-2,868	-6,397	
Net Change in Debt	-7,446	5,467	25,491	-5,572	-10,962	
Others	-2,720	-1,575	0	0	0	
Exchange influence	-41	1,150	0	0	0	
Net increase in cash	-452	4,220	-2,269	2,811	4,621	

Key Financial Ratios					
	2024	2025	2026E	2027E	2028E
Growth					
Revenue growth	5.9	31.7	47.5	49.7	33.9
Operating profit growth	55.0	89.7	54.4	79.9	41.4
Net profit growth	89.7	104.8	59.2	78.5	42.5
Profitability					
Gross profit margin	28.2	31.7	31.7	34.5	35.5
Operating Profit Margin	12.1	17.5	18.3	22.0	23.2
Net profit margin	8.1	12.6	13.6	16.3	17.3
Key Ratio					
ROA	7.6	12.6	13.0	16.8	19.9
ROE	12.1	19.3	21.1	28.2	30.2
Stability					
Gross debt/equity	23.6	30.0	58.1	37.4	19.0
Interest Coverage	9.9	25.0	23.3	38.2	62.0
Current Ratio	2.0	2.5	1.7	1.8	2.1
Quick Ratio	1.3	1.8	1.2	1.2	1.4
Net debt/equity	Net Cash	Net Cash	40.2	20.9	2.8

Rating definitions Benchmark: Hang Seng Index (Hong Kong)

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	Hold	Expected stock relative performance ranges between -10% and 10%
	Underperform	Stock expected to underperform benchmark by more than 10%

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	Neutral	Expected sector relative performance ranges between -10% and 10%
	Cautious	Sector expected to underperform benchmark by more than 10%

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